

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

TOYOTA DE PUERTO RICO CORP., *Complainant*

v.

PUERTO RICO PORTS AUTHORITY, CROWLEY PUERTO RICO SERVICES, INC., AND OCEANIC GENERAL AGENCY, INC.,
Respondents.

DOCKET NO. 19-02

Served: January 3, 2020

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER ON COMPLAINANT'S URGENT MOTION AND RESPONDENT'S MOTION TO STAY

I. Introduction

The parties have completed discovery and are preparing briefs in this proceeding in which Complainant Toyota de Puerto Rico Corp. ("Toyota") alleges violations of the Shipping Act of 1984, as amended ("Shipping Act") in connection with an enhanced security fee collected by Respondent Puerto Rico Ports Authority ("PRPA") on vehicles shipped to Puerto Rico from 2011 to 2017.

On November 26, 2019, Toyota filed an urgent motion requesting an order requiring PRPA to file a motion to stay and to produce a deposition transcript ("Urgent Motion"). On November 26, 2019, an order was issued extending the deadline for filing briefs and requiring PRPA to respond to the urgent motion and request a stay, if desired, by December 3, 2019.

On December 4, 2019, PRPA filed a motion to stay ("Motion"). On December 6, 2019, Toyota filed a notice of its intent to oppose the motion to stay, indicating that it would file a response within the timeframe permitted by the Commission's Rules. On December 9, 2019, Toyota filed an opposition which opposed the merits of the motion and requested additional time to file its brief after the decision on the motion to stay was issued ("Opposition").

On December 10, 2019, an order was issued permitting PRPA to file a reply by December 16, 2019, and extending the briefing deadline until after a ruling on the motion to stay was issued. On December 16, 2019, PRPA filed a reply ("Reply") and on December 17, 2019, PRPA filed a supplement to its reply ("Supp. Reply").

The motion to stay was filed one day after the deadline for the motion and the supplement to the reply was filed one day after the deadline for the reply. However, given the importance of the issues raised and the short timeframes provided, the filings are accepted.

Two other Respondents in this proceeding, Oceanic General Agency, Inc. and Crowley Puerto Rico Services, Inc., were dismissed from the proceeding by stipulation. Notice of Dismissal (Apr. 25, 2019) (OGA); Notice of Dismissal (May 14, 2019) (Crowley). At this point, PRPA is the only remaining Respondent.

This is the first request for stay filed in this proceeding. Earlier in the proceeding, PRPA moved for dismissal of the complaint for four reasons, including that PRPA is an arm of the state with sovereign immunity under the Eleventh Amendment. Toyota opposed the motion to dismiss, arguing that PRPA has not been considered an arm of the state by the Commission. The order denying PRPA's motion to dismiss stated:

Given the circuit split on [the sovereign immunity] issue as well as the pending First Circuit appeal, it would be premature to resolve the issue at this point. It is clear that additional facts regarding the structure of the PRPA and the potential impact of any reparations awarded on Puerto Rico's state finances will be relevant to the determination of this issue. At this point, it does not clearly appear that the case should be dismissed on sovereign immunity grounds.

Order Denying Motion to Dismiss at 9.

As discussed more fully below, a decision on the sovereign immunity issue remains premature and this proceeding will be stayed pending a decision by the First Circuit in the related case of *Dantzler, Inc. v. Puerto Rico Ports Authority*, 18-2089 (1st Cir.).

II. Arguments of the Parties

PRPA contends that the proceeding should be stayed at least until the First Circuit decides *Dantzler*, a case contesting the enhanced security fee at issue in this proceeding, and that the recent Supreme Court decision in *Thacker v. TVA* supports PRPA's argument that it is a hybrid entity entitled to sovereign immunity when performing governmental functions. Motion at 2-3 (citing *Thacker v. TVA*, 139 S. Ct. 1435 (2019)). PRPA argues that Toyota would suffer no harm if a stay was granted and that PRPA has a high likelihood of prevailing on the merits of its sovereign immunity claim. Reply at 2-5; Supp. Reply at 2-8.

Toyota asserts that the motion to stay should be denied, arguing that the motion is a belated end-run around PRPA's procedural omissions, the First Circuit previously concluded that PRPA was not an arm of the state, *Thacker* does not deal with Eleventh Amendment immunity and is inapplicable, and PRPA does not address the stringent requirements of a motion to stay. Opposition at 2-5.

III. Analysis

A. Legal Standard

In *Puerto Rico Ports Authority v. FMC*, the D.C. Circuit stayed a case pending before the Federal Maritime Commission while the D.C. Circuit reviewed the Commission's interlocutory decision finding that PRPA was not entitled to immunity as an arm of the Commonwealth of

Puerto Rico. *Puerto Rico Ports Authority v. FMC*, 2007 U.S. App. LEXIS 4166, at *2 (D.C. Cir. Feb. 22, 2007) (per curiam). The D.C. Circuit indicated that PRPA had “satisfied the stringent standards required for a stay pending court review.” *Puerto Rico Ports Authority v. FMC*, 2007 U.S. App. LEXIS 4166 at *2 (citing *Washington Metropolitan Area Transit Comm’n v. Holiday Tours, Inc.*, 559 F.2d 841, 844-845 (D.C. Cir. 1977)). Although the *Dantzler* appeal is not an appeal of this case, it is based on many of the same facts and legal issues.

Both the Commission and the D.C. Circuit have relied on the four factors identified in *Virginia Petroleum Jobbers Ass’n v. FPC* in evaluating requests to stay proceedings.

The factors to be considered in determining whether a stay is warranted are:

- (1) the likelihood that the party seeking the stay will prevail on the merits of the appeal;
- (2) the likelihood that the moving party will be irreparably harmed absent a stay;
- (3) the prospect that others will be harmed if the court grants the stay; and
- (4) the public interest in granting the stay.

Wisconsin Gas Co. v. FERC, 758 F.2d 669, 673-674 (D.C. Cir. 1985) (citing *Virginia Petroleum Jobbers Ass’n v. FPC*, 259 F.2d 921, 925 (D.C. Cir. 1958)). The consideration of the factors on a motion for stay is left to the sound discretion of the administrative law judge. *Permian Basin Area Rate Cases*, 390 U.S. 747, 773 (1968); *Landis v. North American Co.*, 299 U.S. 248, 254 (1936); *Washington Metropolitan Area Transit Comm’n v. Holiday Tours, Inc.*, 559 F.2d 841, 844-845 (D.C. Cir. 1977). The applicant for a stay has the burden of demonstrating that a stay should be imposed. *Hilton v. Braunskill*, 481 U.S. 770, 776 (1985).

B. Sovereign Immunity

The D.C. Circuit, in *Puerto Rico Ports Authority v. FMC*, ultimately found that PRPA was entitled to sovereign immunity. *Puerto Rico Ports Auth. v. Federal Maritime Commission*, 531 F.3d 868 (D.C. Cir. 2008) (“*PRPA v. FMC* (D.C. Cir. 2008)”).

In its motion to dismiss, PRPA acknowledged that “[t]hroughout the years, PRPA’s arm-of-the-state status has been inconsistent” and asserted that “PRPA’s hybrid entity status – a matter of first impression which is currently on appeal before the Federal Court of Appeals for the First Circuit – shields it from legal actions that precisely target its governmental functions.” Motion to dismiss at 9. PRPA argues that it is an arm of the state or a hybrid entity and that this proceeding arises out of a purely governmental function, “PRPA’s implementation of a cargo scanning program that stems from [a] statutory mandate to, *inter alia*, strengthen national security and increase the Commonwealth’s ability to collect taxes.” Motion to dismiss at 10.

In the motion to stay, PRPA asserts that its argument is strengthened by the Supreme Court’s recent *Thacker* decision, which ruled that “a hybrid government-owned federal corporation, which combined governmental functions with typically commercial ones, could be afforded sovereign immunity status.” Motion at 2.

Although *Thacker* dealt with sovereign immunity in the context of waiver by the federal government, not in the context of a state or territory, it may be relevant to the evolving sovereign immunity jurisprudence and the issues raised by PRPA in this proceeding and in *Dantzler*.

In its opposition to the motion to dismiss, Toyota asserted that “PRPA has failed to demonstrate that it is an arm of the state in cases before the FMC and before the federal courts. Therefore, it is not entitled to sovereign immunity.” Opposition to motion to dismiss at 7. Toyota further claims that the Commonwealth of Puerto Rico “would not be liable for a judgement against PRPA in this action,” so that “PRPA is not entitled to immunity from this case.” Opposition to motion to dismiss at 8. In its opposition to the stay, Toyota asserts that *Grajales v. Puerto Rico Ports Auth.*, 831 F.3d 11, 30 (1st Cir. 2016), decided the immunity question. Opposition at 2-4.

In *Grajales*, the First Circuit declined to rule on whether a sovereign could structure a hybrid entity that would only be an arm of the state when performing certain functions, distinguished *PRPA v. FMC (D.C. Cir. 2008)*, and found that PRPA had not established that it was entitled to claim the Commonwealth’s immunity. *Grajales v. Puerto Rico Ports Auth.*, 831 F.3d 11 at 20 n.9, 22-23, 29-30.

“The preeminent purpose of state sovereign immunity is to accord States the dignity that is consistent with their status as sovereign entities.” *Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743, 760 (2002). Only “States and arms of the State possess immunity from suits authorized by federal law.” *Northern Ins. Co. of N.Y. v. Chatham County*, 547 U.S. 189, 193 (2006). Although immunity extends to entities which are arms of the state, the Supreme Court has repeatedly refused to extend sovereign immunity to municipalities, even when such entities exercise a “slice of state power.” *Chatham County*, 547 U.S. at 193-94 (citations omitted); *see also Alden v. Maine*, 527 U.S. 706, 756 (1999) (sovereign immunity “does not extend to suits prosecuted against a municipal corporation or other governmental entity which is not an arm of the State.”).

The Supreme Court specifically has held that state sovereign immunity bars the Federal Maritime Commission from adjudicating a private party’s complaint against a state-run port. *South Carolina State Ports Auth.*, 535 U.S. at 747. Commission cases have addressed the Eleventh Amendment immunity of ports in South Carolina, Puerto Rico, and Maryland. In all three cases, the ports were ultimately found entitled to immunity. *South Carolina State Ports Auth.*, 535 U.S. at 743; *PRPA v. FMC (D.C. Cir. 2008)*, 531 F.3d at 868; *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 30 S.R.R. 358 (FMC 2004).

The issue of sovereign immunity, and specifically whether PRPA is an arm of the state, has been refined and is evolving. While the D.C. Circuit in *PRPA v. FMC (D.C. Cir. 2008)* found that the PRPA was entitled to immunity, the First Circuit distinguished *PRPA v. FMC (D.C. Cir. 2008)* and found that PRPA was not entitled to sovereign immunity in *Grajales*. Compare *PRPA v. FMC (D.C. Cir. 2008)*, 531 F.3d at 868 with *Grajales*, 831 F.3d at 30. Another case involving PRPA’s sovereign immunity and the enhanced security fees at issue in this proceeding is currently on appeal to the First Circuit. *Dantzler, Inc. v. Puerto Rico Ports Auth.*, 335 F. Supp. 3d 226 (D.P.R. 2018).

C. Discussion

1. Likelihood of Prevailing on the Merits

Both parties address the merits of the question of whether PRPA is entitled to sovereign immunity. The D.C. Circuit has found PRPA entitled to sovereign immunity and has applied that immunity to a proceeding before the Commission. Although the First Circuit reached a different result, there is a likelihood that PRPA may prevail on the merits. Accordingly, this factor weighs in favor of granting the stay.

2. Irreparable Injury

In previous cases before the Commission, parties have been permitted to appeal denials of motions to dismiss on sovereign immunity grounds, and in those cases the proceeding was generally stayed. *See, e.g., Int'l Shipping Agency, Inc. v. The Puerto Rico Ports Auth.*, No. 04-01 (FMC Sept. 21, 2004) (Notice); *see also Odyssey Stevedoring of Puerto Rico, Inc. v. Puerto Rico Ports Auth.*, 30 S.R.R. 1339 (FMC Mar. 5, 2007) (D.C. Circuit granted motion to stay administrative proceedings pending review of sovereign immunity issue). In *South Carolina Maritime Services, Inc.*, Judge Kline allowed a stay pending consideration of a petition for review of an Eleventh Amendment issue to the circuit court, stating that “the right or privilege not to have to defend against a private complaint under the 11th Amendment, if violated, has been found by the courts to cause irreparable injury without regard to ‘financial impact’ as a matter of law.” *South Carolina Mar. Services, Inc. v. South Carolina State Ports Auth.*, 2000 WL 722270, at *6 (ALJ May 10, 2000). The Ninth Circuit stated “the reason we will hear a state’s appeal from a decision denying immunity to it under the Eleventh Amendment is that the benefit of the immunity is lost or severely eroded once the suit is allowed to proceed past the motion stage of the litigation.” *Thomas v. Nakatani*, 309 F.3d 1203, 1207-08 (9th Cir. 2002); *see also Vann v. Kempthorne*, 534 F.3d 741, 745 (D.C. Cir. 2008) (“we may hear an interlocutory appeal from the denial of [a motion to dismiss on sovereign immunity grounds.]”).

In this case, PRPA did not appeal the order denying the motion to dismiss and did not previously move to stay the proceeding. However, PRPA has now made the request for a stay based on the First Circuit *Dantzler* appeal of the facts and legal issues raised in this proceeding. PRPA asserts that briefing this proceeding would be a “costly exercise” that is “premature.” Reply at 1.

PRPA makes a strong argument that it will be irreparably injured by being required to participate in this proceeding if it is found to be entitled to immunity. In addition, it may be more efficient to allow PRPA to focus its energies on the *Dantzler* case which is further along in the process and may ultimately impact this proceeding. This factor weighs in favor of granting the stay.

3. Harm to Other Parties

PRPA argues that Toyota would suffer no harm if a stay were granted. Reply at 2. Toyota does not directly address this issue, although it argues that it has spent time and resources conducting discovery and preparing to brief the case. Because discovery has been conducted, there is less of a risk of losing evidence as time passes. Other potential harm to Toyota as a result of staying this proceeding can be addressed in the damages award, if one is ultimately issued. This factor weighs in favor of granting the stay.

Toyota also asserts that by not seeking reconsideration of the denial of the motion to dismiss, it waived its right to seek a stay due to the sovereign immunity defense. Opposition at 2. This is the first motion to stay the proceeding and it is not improper to move for a stay after a motion to dismiss has been denied, in part because the standards are different. Moreover, in this case, the decision on the motion to dismiss clearly contemplated addressing the issue again, once additional information was obtained.

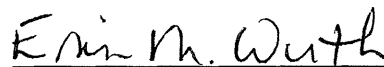
4. Public Interest

PRPA argues that it conducts governmental functions at the ports in Puerto Rico. While these arguments are made regarding the merits of the sovereign immunity issue, to the extent that PRPA supports the government of Puerto Rico and shipments into the Commonwealth, it is in the public interest for those activities to be conducted in the most cost effective manner. Moreover, if PRPA is entitled to sovereign immunity, the benefit of that immunity would be lost by continuing to litigate the merits of this proceeding. This factor also weighs in favor of granting the stay.

All of the factors weigh in favor of granting the stay. The parties will be required to alert the Commission within fifteen days of a decision in the *Dantzler* proceeding by filing a joint status report with a proposed schedule for briefing this proceeding. At this point, there is no need to address any remaining issues raised in Toyota's urgent motion.

IV. Order

Accordingly, it is hereby **ORDERED** that this proceeding be stayed until a decision is issued by the First Circuit in the related *Dantzler* proceeding. Within fifteen days of a decision being issued in the *Dantzler* case, the parties must file with the Commission a joint status report including a copy of the decision and a proposed schedule. It is **FURTHER ORDERED** that the urgent motion be dismissed as moot.



Erin M. Wirth
Chief Administrative Law Judge